

MASTERCARD INTERNATIONAL INCORPORATED

Brand Implementation Mandate

Mandate ID: **MCS-2026-R3** | Part **1 of 2**: Mandate Overview, Brand Rules & Certification

Applicable Card Brand: **Mastercard** (incl. Maestro, Debit Mastercard)

Version: 1.2 | Status: Approved-Final | **Compliance Deadline: 2026-09-30**

1. Mandate Summary

This document is Part 1 of 2 for Mastercard brand mandate **MCS-2026-R3**. It covers the mandate rationale, brand rules, and certification requirements. Part 2 of 2 (document MCS-2026-R3-T) contains the technical implementation specification including ISO 8583 message format changes, revised interchange fee schedules, and Banknet routing updates. Both parts must be read together as a single binding requirement.

Mandate MCS-2026-R3 is issued by Mastercard International Incorporated under authority of the Mastercard Rules and the Mastercard Security Rules and Procedures and is binding on all Mastercard-licensed acquirers, including JPMC Merchant Services. This mandate requires acquirers to update their processing systems to support **Mastercard Digital Enablement Service (MDES) token-based transactions**, revised interchange qualification criteria, and enhanced Banknet routing logic for Debit Mastercard and Maestro products. Full compliance is required by **2026-09-30**. This mandate supersedes circular MCS-2024-R7 in all matters relating to MDES token routing and interchange qualification.

2. Scope and Affected Card Brands

This mandate applies to all transactions bearing the following **Mastercard** card brand identifiers processed through JPMC Merchant Services acquiring infrastructure:

- **Mastercard Credit** — all tiers (Standard, World, World Elite, Corporate)
- **Debit Mastercard** — US and international debit products
- **Maestro** — PIN debit, international card-present
- **Mastercard Commercial** — purchasing, fleet, and business cards

Prepaid Mastercard products are excluded from MDES token requirements but remain subject to interchange and routing changes in Part 2 of this mandate.

BIN ranges in scope: 510000–559999 (Mastercard Credit/Debit), 600000–699999 (Maestro). Token BIN ranges 520000–529999 are specifically in scope for MDES token processing requirements. Transactions with primary account numbers outside these ranges and not presenting an MDES token are not affected by this mandate.

3. Brand Rules and Operational Constraints

3.1 MDES Token Handling

Brand rule BR-01: Acquirers MUST NOT de-tokenize MDES tokens prior to forwarding authorization requests to Mastercard Banknet. De-tokenization is the exclusive responsibility of the Mastercard Digital Enablement Service and occurs at the Banknet gateway. Acquirer systems that strip or substitute token values will receive authorization declines with Response Code 14 ('Invalid card number') from the issuer.

Brand rule BR-02: Token Requestor IDs (TRIDs) must be preserved in DE 48.66 through the full authorization chain. The TRID identifies the wallet or device that initiated the token-based transaction and is required for Mastercard's fraud analytics platform. Acquirers sourcing from mobile wallets (Apple Pay, Google Pay, Samsung Pay) MUST populate DE 48.66 and DE 48.77 (wallet indicator) as specified in Part 2.

3.2 Cardholder Verification Rules

Brand rule BR-03: For Mastercard contactless transactions above USD 100.00, the terminal MUST request CVM results per EMV Contactless Kernel C-3 (Mastercard Contactless Kernel, MCK). Acceptable CVM methods in priority order: (1) Online PIN, (2) Offline Enciphered PIN, (3) Signature. No CVM ('NOCVM') is permitted for transit and toll MCCs only (MCCs 4111, 4121, 4131, 7523). CVM result must appear in DE 55 Tag 9F34 (CVM Results).

3.3 Authorization Timeout and Fallback

Brand rule BR-04: If the primary Banknet authorization endpoint does not respond within 4000ms, acquirer systems MAY attempt the secondary Banknet endpoint. The fallback attempt MUST be logged with reason code T (timeout) in the transaction audit record. Stand-in processing (STIP) is available for issuers that have enrolled in Mastercard STIP; acquirers MUST forward the authorization to STIP on secondary endpoint timeout rather than declining the transaction at the acquiring host.

3.4 Decline Reason Code Updates

Brand rule BR-05: Response Code 55 returned for MDES token transactions now indicates 'Token Assurance Level insufficient' rather than its legacy meaning of 'Incorrect PIN'. Acquirer host systems and merchant-facing decline reason engines MUST be updated to display 'Unable to process — please retry with chip card' for MC Response Code 55 on token transactions (identifiable by MDES token BIN range 520000–529999). Failure to distinguish this code will cause incorrect merchant messaging and consumer friction that Mastercard monitors via dispute rate metrics.

4. Certification and Conformance Requirements

All acquirers subject to MCS-2026-R3 MUST obtain **Mastercard Acquirer Certification (MAC) Level 2** for MDES token processing before the compliance deadline. Certification is administered by the Mastercard Certification Authority (MCA) via the Mastercard Connect portal. The certification process has three gates:

Gate C1 — Functional Test Suite: Acquirer runs the Mastercard Test Suite (MTS) v8.4 test scripts against a UAT environment connected to the Mastercard Simulator. Required pass rate: 100% of Category A (mandatory) test cases, 85% of Category B (conditional) test cases. MTS v8.4 test

scripts are available on Mastercard Connect under 'Certification > MDES Token > Acquirer Suite'. Estimated duration: 4 weeks.

Gate C2 — Interoperability Testing: Acquirer submits 1,000 end-to-end transaction traces including MDES token transactions (minimum 300), fallback chip transactions (minimum 100), and Regulation II debit routing samples (minimum 50). Traces must be submitted via the Mastercard Testing API in JSONL format as specified in the MTS Integration Guide v8.4 Appendix D.

Gate C3 — Production Validation: 60-day post-certification production monitoring period. Mastercard monitors token decline rates, TRID population rates, and DE 48.77 coverage via Mastercard Settlement Services data feeds. Any metric exceeding the alert threshold triggers a mandatory remediation review within 5 business days. MAC Level 2 is revoked if remediation is not completed within 30 calendar days.

Acquirers that do not achieve MAC Level 2 by 2026-09-30 will have all Mastercard and Maestro transactions automatically downgraded to the Standard non-qualified interchange tier and will be placed on a 90-day remediation plan per Mastercard Rules Section 9.3.2.

5. Compliance Deadline and Milestones

Milestone	Target Date	Owner
MTS v8.4 test harness provisioned	2026-04-15	JPMC Merchant Tech
Gate C1 functional tests complete	2026-06-15	JPMC QA
Gate C2 interoperability submission	2026-07-31	JPMC + MCA
Production deployment (UAT → PROD)	2026-09-01	JPMC Ops
Gate C3 monitoring period begins	2026-09-01	MCA
COMPLIANCE DEADLINE (MCS-2026-R3)	2026-09-30	All parties

6. Normative References

- Mastercard Rules, April 2026 edition, Section 9.3
- Mastercard Security Rules and Procedures v2026-Q1
- Mastercard Digital Enablement Service (MDES) Acquirer Implementation Guide v5.2
- Mastercard Test Suite (MTS) v8.4 Acquirer Script Package
- EMV Contactless Kernel C-3 (Mastercard Contactless Kernel) v3.1
- Prior mandate: MCS-2024-R7 (superseded by this document)
- Part 2 of this mandate: MCS-2026-R3-T (Technical Specification)